

Advanced Policy Logic & Coverage Architecture: Star Health Insurance

This research document details the operational mechanics and technical logic behind Star Health Insurance's product portfolio, focusing on its signature restoration benefits, specialized disease-specific structures, and senior citizen-centric underwriting.

1. Advanced Restoration & Sum Insured Logic

Star Health is a pioneer in "Automatic Restoration" logic, designed to prevent coverage gaps during multiple hospitalizations.

A. The Restoration Algorithm

- **Automatic Restoration:** Triggered immediately upon partial or full exhaustion of the base Sum Insured (SI).
- **Logic Variants: * Unlimited Restoration:** Featured in plans like "Star Assure" and "Super Star," the SI is restored 100% an unlimited number of times within a policy year.
 - **Same Illness vs. Different Illness:** Traditionally, restoration applied only to *unrelated* illnesses. Modern Star logic (e.g., Star Comprehensive) allows restoration even for the **same illness** for subsequent hospitalizations, provided they are separate events.
- **Partial vs. Full Exhaustion:** Some older plans required 100% SI exhaustion to trigger a refill. Current advanced logic triggers restoration even after **partial utilization**, ensuring a continuous buffer.

B. "Freeze Your Age" Logic (The Premium Lock)

Featured in the **Super Star** plan, this logic allows policyholders to lock their entry-age premium.

- **Mechanism:** The premium remains based on the age at entry and does not increase as the policyholder grows older, *until* a claim is made.
- **The "Unlock" Trigger:** Once a claim is filed, the "freeze" is removed, and the premium shifts to the current age bracket at the next renewal.

2. Specialized Disease-Specific Architecture

Star Health uses tailored underwriting for high-risk chronic conditions that are typically excluded or heavily loaded by other insurers.

A. Diabetes Safe Insurance (Wait-Period Bypass)

- **Plan A (Screening-Based):** If the applicant undergoes a medical screening and the results are acceptable, the waiting period for diabetic complications is **waived from Day 1**.
- **Plan B (No Screening):** No medical test is required, but a **12-month waiting period**

applies specifically to diabetic complications.

- **Cost Logic:** Covers both Type 1 and Type 2 diabetes, including dialysis and kidney transplantation costs.

B. Cardiac Care (Platinum & Gold)

- **Inclusion Logic:** Specifically designed for individuals who have already undergone cardiac procedures (stenting, bypass, etc.).
- **Waiting Period Logic:** * Section 1 (Non-Cardiac & Accidents): 30-day initial wait.
 - Section 2 (Cardiac Ailments): Typically a **90-day waiting period** for cardiac complications in Gold variants, significantly lower than the standard 36-48 month PED wait.

3. Senior Citizen "Red Carpet" Logic

The "Senior Citizens Red Carpet" policy is engineered for high-risk entry (ages 60–75) with specific cost-sharing mechanisms.

A. Mandatory Co-payment Logic

- **Fixed Co-pay:** A mandatory **30% co-payment** applies to all claims. The insurer pays 70%, and the insured bears 30%, which acts as a mechanism to keep premiums affordable despite the high age-related risk.
- **PED Waiting Period:** Unlike standard policies with 36–48 month waits, this plan often reduces the waiting period for Pre-Existing Diseases to **just 12 months**.

B. Sub-limit Constraints

To manage the high frequency of age-related surgeries, specific sub-limits apply:

- **Cataract:** Often capped (e.g., ₹25,000 to ₹50,000 per eye).
- **ICU Charges:** Typically capped at 2% of the Sum Insured per day.
- **Room Rent:** 1% of the SI per day for basic plans, or specific room category (Single Private A/C) for higher SI options.

4. Modern Treatment & Technology Coverage

Star Health policies explicitly cover "Modern Treatments" with specific sub-limit logic:

- **Robotic Surgeries:** Covered up to the SI or specific procedure-based caps (e.g., ₹2.5 Lakhs to ₹5 Lakhs depending on the plan).
- **Included Procedures:** Stem cell therapy, Intra-vitreal injections, Balloon Sinuplasty, and Deep Brain Stimulation.
- **AYUSH Coverage:** 100% coverage in many plans (like Star Comprehensive) for treatments in government-recognized AYUSH hospitals, without the sub-limits found in competitor policies.

5. Cost-Saving Riders & "Buy-Back" Logic

- **Buy-Back PED:** A premium-loading rider that allows a user to reduce the 36-month waiting period for Pre-existing Diseases to **just 12 months**.
- **Wellness Points (Star Power):** Through the "Star Health" app, users track steps and health parameters to earn points. These points provide a **renewal discount of up to 10%–15%**.

Summary of Logic Parameters

Feature	Logic Trigger	Operational Effect
Unlimited Restoration	Partial/Full Exhaustion	SI refilled 100% for every new hospitalization.
Diabetes Plan A	Passed Medical Screening	Coverage for complications starts from Day 1.
Red Carpet Co-pay	Any Admissible Claim	Insured pays 30% of the total bill.
Freeze Your Age	Claim-Free Years	Premium remains static based on entry age.
Quick Shield	Optional Add-on	Reduces PED wait from 36 months to 1 month for specific conditions.